Oracle Corporation

What Could Improve the Oracle and OpenAI Narratives in 2026?

Equities

United States
Software

12-month rating **Buy**

12m price target	**US$280.00**
	Prior : US$325.00
Price (31 Dec 2025)	**US$194.91**

RIC: ORCL.N **BBG:** ORCL US

Trading data and key metrics

52-wk range	US$328.33-122.82
Market cap.	US$541b
Shares o/s	2,778m (COM)
Free float	78%
Avg. daily volume ('000)	4,480
Avg. daily value (m)	US$1,021.4
Common s/h equity (05/26E)	US$34.6b
P/BV (05/26E)	16.4x
Net debt to EBITDA (05/26E)	3.0x

EPS (UBS, diluted) (USD)

	05/26E			
	From	To	% ch	Cons.
Q1E	1.47	1.47	0	1.47
Q2E	2.26	2.26	0	2.26
Q3E	1.72	1.72	0	1.72
Q4E	1.90	1.89	-1	1.97
05/26E	7.35	7.34	-0	7.39
05/27E	7.80	7.42	-5	8.01
05/28E	10.44	9.93	-5	10.69

Summary

The -41% correction in Oracle shares off the mid-Sept highs reflects a material deterioration in investor confidence in both Oracle's outlook as well as OpenAI's, weighing on the entire "OpenAI complex" of stocks. In this note we step back and hit refresh on the Oracle story, addressing each of the key investor debates. Bottom line, we reaffirm our Buy rating in light of the material pending revs growth acceleration and ramp of Abilene data center capacity, the potential that the cautious OpenAI narrative begins to reverse in 1H26 and our view that the credit/financing risks are now largely embedded in the stock.

What Could Bend the Oracle Narrative

There is nothing like a marked growth rate acceleration to quiet investor concerns and even if one discounts Oracle's revs guidance (which we do, and are now trimming a bit more), we are just one quarter into what could be the biggest growth acceleration story in all of tech. Confidence could turn if investors get more comfortable with the ramp in Abilene (we're not picking up signs of delays) and in the appetite of various lenders to fund the AI build-out (we're not picking up evidence of a pull-back), and if Oracle becomes more transparent about its financing needs and announces (off-balance sheet) capital-light funding options that put less strain on Oracle's credit profile.

What Could Restore Confidence in OpenAI

The sell-off of Oracle shares in 4Q25 was not entirely company-specific and hence any material re-rating in Oracle (and Microsoft) shares in 2026 must also come from a reversal of broader Street concerns about OpenAI's ability to meet its commitments with Oracle and other tech partners. In our view there are several paths for this to occur in 2026, including a large OpenAI funding round, a material OpenAI model improvement (GPT-6 in March/April?), a tempering of the deceleration in ChatGPT usage metrics and/or progress in scaling up in the enterprise, thereby calming investor concerns about consumer AI competition with Google and others.

Valuation:

Oracle shares trade at 29x CY26 EPS and at 11x FY30 EPS, in our view reasonable given Oracle's guidance for a 32% FY26-FY30 or 4-year non-GAAP EPS CAGR, even with the execution and OpenAI concentration risks. We're trimming our PT from $325 to $280, based on a CY27e PE multiple of 34x, a justified premium relative to peers.

Karl Keirstead
Analyst
karl.keirstead@ubs.com
+1-310-734 2455

Radi Sultan, CFA
Analyst
radi.sultan@ubs.com
+1-212-882 0094

Dean Marriott
Associate Analyst
dean.marriott@ubs.com
+1-212-713 2115

Highlights (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Revenues	49,955	52,961	57,399	67,057	85,564	123,898	169,746	204,270
EBIT (UBS)	20,904	23,054	25,034	28,503	34,974	47,329	65,413	83,974
Net earnings (UBS)	14,177	15,709	17,285	21,493	22,157	30,227	44,259	59,273
EPS (UBS, diluted) (US$)	5.12	5.56	6.03	7.34	7.42	9.93	14.27	18.74
DPS (net) (US$)	1.35	1.60	1.70	2.03	2.06	2.11	2.16	2.22
Net (debt) / cash	(80,294)	(76,208)	(81,365)	(106,709)	(147,041)	(180,167)	(186,159)	(168,613)

Profitability/valuation	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
EBIT (UBS) margin %	41.8	43.5	43.6	42.5	40.9	38.2	38.5	41.1
ROIC (EBIT) %	32.2	27.6	26.7	23.4	21.1	22.1	25.1	28.0
EV/EBITDA (UBS core) x	10.9	13.4	16.2	17.6	13.4	10.3	7.1	5.7
P/E (UBS, diluted) x	15.8	20.6	26.0	26.6	26.3	19.6	13.7	10.4
Equity FCF (UBS) yield %	5.8	4.5	0.0	(4.9)	(6.4)	(5.0)	0.1	4.4
Dividend yield (net) %	1.7	1.4	1.1	1.0	1.1	1.1	1.1	1.1

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 194.91 on 31-Dec-2025

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OpenAI and Other Broader AI Concerns

As noted in Figure 1 below, the broad basket of AI-exposed tech stocks is down a median of 13% since the AI bubble/OpenAI concerns began to snowball in mid-October, albeit following an outstanding 77% rally year-to-date through mid-October. The fact that Oracle along with smaller emerging GPU cloud providers CoreWeave, Nebius and IREN are down much more than the average is a function of a) their larger OpenAI exposure (especially in the case of Oracle) and b) the fact that these firms (in contrast to the firms at the top of the list) need to raise capital to finance the AI build-out. The sell-off of Oracle shares is not entirely company-specific and is due in part to broader Street concerns about OpenAI and its ability to scale into its targets and meet its commitments with Oracle and others, as well as the risk that Oracle and its peers won't be able to execute on the projected AI build-out due to financing or capacity constraints. The snowballing of these OpenAI counterparty risk concerns in 4Q25 was at the core of the second major AI sentiment correction, following the "DeepSeek moment" in January 2025.

Figure 1: Broad Weakness in AI-Centric Stocks

All Software		% Change Jan 1 - Oct 15	% Change Since Oct 15
NVIDIA	NVDA	34%	4%
Taiwan Semiconductor	TSM	54%	0%
Palantir	PLTR	137%	-1%
Broadcom	AVGO	52%	-1%
Microsoft	MSFT	22%	-6%
AMD	AMD	98%	-10%
Blue Owl Capital	OWL	-26%	-13%
Datadog	DDOG	12%	-15%
Nebius	NBIS	354%	-33%
Oracle	ORCL	82%	-36%
IREN	IREN	592%	-44%
Super Micro	SMCI	77%	-46%
CoreWeave	CRWV	248%	-49%
Mean		**134%**	**-19%**
Median		**77%**	**-13%**
NASDAQ Composite		**20%**	**3%**
S&P 500		**16%**	**3%**

Source: FactSet

OpenAI Counterparty Risk

OpenAI's growth trajectory – from zero to the current revenue run-rate of ~$20 billion exiting 2025 in the space of just 3 years – is extraordinary, and we'd say the same about OpenAI's rival Anthropic and its current revenue run-rate of ~$10 billion. Amidst the doom and gloom about the ability of the compute-hungry model providers that are fueling this AI boom to scale into their ambitious targets, we can't forget that the current combined revenue run-rate of ~$30 billion, with estimates moving up not down, speaks to enormous value from AI models and products such as ChatGPT built on them.

That said, OpenAI in particular is driving a material portion of the compute demand that has lifted the shares and financial targets of Nvidia, Microsoft, Oracle and others such that in our view it is fair game for investors to thoroughly assess the risk that OpenAI's targets - $200 billion by 2030 – are too ambitious. Investors are clearly pricing-in the risk

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that OpenAI won't be able to meet its commitments with its tech suppliers such as Oracle. This is a healthy and expected exercise for the markets to go through. The current investor skepticism towards OpenAI's ability to scale into its revenue targets is partly a result of the fact that most tech investors have never seen a growth curve like the one that OpenAI is expecting. But the skepticism is grounded in some sobering realities, including:

- **Out-Sized Tech Deals:** The flurry of long-term deals that OpenAI struck with tech suppliers including Oracle, Microsoft, CoreWeave, Google Cloud and AWS among cloud infra partners and Nvidia, Broadcom and AMD on the hardware/chip side, first elicited applause but then skepticism given the sheer scale and number of contractual commitments, expressed via the common "how can a company with $13 billion of revs possibly meet $1.4 trillion of spending commitments?" question. The spirit of the question is unchanged, but we'd note that OpenAI is now at a ~$20 billion run-rate, the supplier deals don't sum to $1.4 trillion (there is overlap) and if these deals have an average 7-year duration, then we're talking about $150-200 billion of annual spend.
- **Slowing ChatGPT Growth:** As we discussed in our early-Sept OpenAI deep dive report (see here), ChatGPT for consumers is by far OpenAI's largest revenue source and hence in assessing OpenAI's ability to scale and meet its supplier commitments, investors are extremely attentive to any signal that ChatGPT may be slowing. This is indeed what the market picked up, via a) media reports that the OpenAI CFO disclosed slowing ChatGPT user engagement in 3Q in part due to increased content restrictions and b) 3rd-party data (from SimiliarWeb, Sensor Tower and others) showing slowing volume growth.
- **Google Gemini Competition:** The increasingly cautious view of OpenAI's future growth curve was further fueled by Google's strong 3Q25 print (Google's Gemini app reached 650m MAUs and queries 3x'd from 2Q) and then the mid-November launch of Gemini 3, which garnered industry-wide praise. This motivated OpenAI to declare a "code red" situation and fanned the narrative that Google has gained ground with Gemini and that the consumer AI model market was now far more competitive, impairing OpenAI's ability to scale ChatGPT revs.
- **Financing Challenges:** Lastly, investors, likely reacting to the fundamental issues above, began expressing concern about OpenAI's ability to keep funding its growth. In our view these concerns were strengthened in late-Oct when Microsoft reported a surprisingly-large $4.1 billion Sept/25 pre-tax loss on its OpenAI stake. This created the impression that OpenAI losses had widened materially and neither Microsoft nor OpenAI clarified that loss (we expressed a view that it was likely due to a non-recurring GAAP loss on SBC grants or convertible debt).

What could reverse this narrative, restore investor confidence in OpenAI's growth outlook in 2026 and thereby lift the shares of Oracle and other tech stocks (Microsoft, CoreWeave, Datadog among software/infra stocks) with material OpenAI exposure? We can think of several things, and if we were to see even a few of these narrative drivers play out, we can foresee a healthy recovery in sentiment on Oracle and Microsoft shares in 2026.

OpenAI Raises Capital

This is an easy one to start with because it already began to play out in mid-Dec, when the media (see here) reported that OpenAI was raising $100 billion at an $830 billion valuation. That media story alone had Oracle shares +7% and CoreWeave shares +23% the next day, evidence of the depth of these OpenAI funding concerns. If that OpenAI capital raise were to occur and Oracle itself were to raise material funding at a reasonable cost of capital (discussed in the next section), the risk profile of the AI build-out would improve overnight. In addition to that proposed OpenAI raise, the media (see here) has reported that OpenAI is in discussions to secure a $10 billion capital commitment from Amazon and that Softbank has now fully-funded its $40 billon financing commitment to OpenAI. We, like most AI/tech investors, are now collaborating with our lending/credit UBS research teams to monitor AI capital developments, but to date we haven't encountered any evidence to suggest that OpenAI's ability to raise additional capital is materially impaired. As an aside, an OpenAI fundraising round at a valuation level above $500 billion means that the "cap" on OpenAI losses running through Microsoft's income statement would move higher (recognized OpenAI losses would continue to impact GAAP EPS).

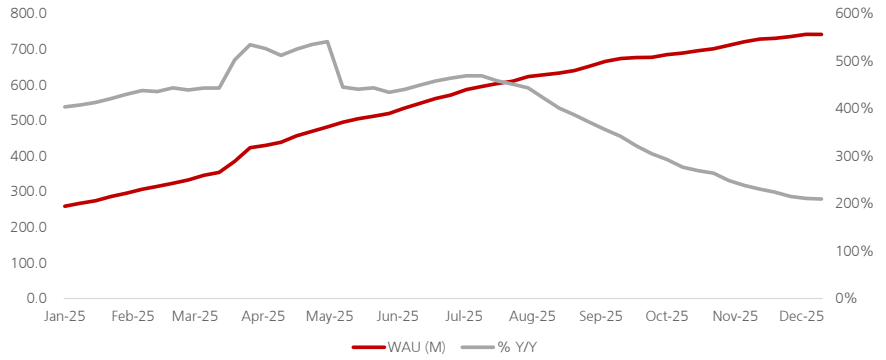
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ChatGPT Growth Metrics Improve

As noted above, slowing ChatGPT usage metrics in Sept/Oct were a key driver of the sudden deterioration in the OpenAI narrative. ChatGPT seat growth is now 900+ million, but the bigger investor focus is on usage, as this is what drives OpenAI's demand for inference compute capacity and ultimately OpenAI revenues. Any improvement in ChatGPT usage metrics could help turn the narrative. Is this likely? Yes and no. On the one hand, any lifting of content restrictions or improved features could drive engagement. On the other hand, with ChatGPT quickly approaching 1 billion users and in the market for 3 years, it may be too optimistic to think that ChatGPT prompt volume growth can bend higher. A more realistic outlook may be that usage growth continues to moderate but at a still-impressive rate.

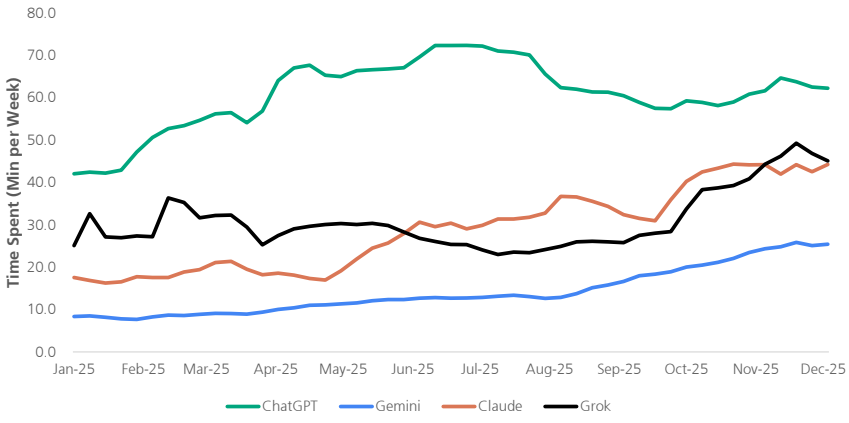
Third-party data is imperfect, but in Figure 2 and 3 we show the 3P data on ChatGPT use. The number of weekly active users continues to grow but the rate of growth in WAUs is naturally slowing given the sheer scale of adoption. A 200% rate of growth is outstanding at this scale but any moderation in the slope of that WAU growth line could be interpreted positively. While time spent per week for ChatGPT is also flattening-out, we note that a) time spent on ChatGPT remains well above rival products and is a mile above that of Google Gemini and b) usage metrics appear to be flattening-out in recent months for each of these products. Consumer adoption of AI products is simply maturing.

Figure 2: ChatGPT Usage Trends



Source: Sensor Tower

Figure 3: User Engagement by AI Product



Source: Sensor Tower

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A Better Model – GPT-6 in 1Q?

The confidence crisis in OpenAI that took hold over the last few months of 2025 was also fueled by concerns that Google's Gemini AI model/product had made material strides and would offer material competition to OpenAI's ChatGPT, further slowing its growth. This is a legitimate concern, although one could counter that increased competition in the (massive) market for consumer AI products is to be expected and that there is plenty of room for two (indeed, a large portion of ChatGPT users already use 2+ products). While GPT-5.2 was hailed by OpenAI as a material model improvement, this has done little or nothing to restore Street confidence. Investors may need to see a more material improvement, essentially a much-improved GPT 6.0. When asked on a recent pod when GPT-6 (regardless of the actual name) might be released, OpenAI's CEO said "1Q". If a material model enhancement takes OpenAI out of its self-imposed "code red" situation, investors too might shift away from their own "code red" narrative. The prospect of a step-function "GPT-6" model improvement in late-1Q could have a powerful impact on the broader AI trade, not just on the battle with Google Gemini for consumer AI adoption. As we discuss in more detail below, material AI model improvements could also serve to ramp adoption of AI technology in enterprises, impacting a large portion of enterprise software firms.

What if xAI Gets There First?

On a recent podcast, Gavin Baker made the compelling point that the LLM improvements made throughout 2025 by OpenAI and others training on Nvidia chips have been more incremental than profound, in part because none of the major AI model providers have trained on the latest Nvidia GB300 processors at scale. Google, in contrast, benefited from training Gemini on the latest TPUs. Given that the industry is now standing up material GB300 capacity, Baker argued that the next major model improvement may come from xAI or OpenAI training on next-generation Nvidia chips, citing xAI as most likely to stand up material GB300 training capacity and launch a new model. Indeed, Elon Musk posted on December 9th that Grok 4.20 would be released in "~3 weeks" and Grok 5 in a "few months".

If indeed xAI Grok 5 gets there first to much fanfare, we'd argue that this isn't a bad scenario for Oracle. Not only might this increase the chances that OpenAI could make a leap forward soon thereafter with GB300-trained GPT-6 (syncing with the OpenAI CEO's comment about 1Q timing), but Oracle is also the inference compute partner for xAI and Grok, with the Oracle-xAI commitment driving a material portion of Oracle's backlog growth in recent quarters. If this bullish scenario were to play out, Oracle could be the cloud infra partner supporting the two AI product providers making the biggest improvements in 1H26. There could also be a broader sentiment boost for the entire AI trade if training on the latest generation of GB300s results in a big leap forward in AI model performance, ramping adoption. This might also be good for Nvidia, as it might help to quell the concerns that Google TPUs are becoming much more competitive.

Enterprise Adoption and OpenAI's Monetization Plan

As noted above, a very large portion of OpenAI revenues come from consumer ChatGPT subscriptions, and it appears as if seat/usage growth rates are naturally moderating. This is exactly the moment that investors need to believe in new monetization vectors and yet it is unclear to most investors what these new vectors are. Absent a formal OpenAI investor session, it's plausible that throughout 1H26, OpenAI articulates (via X or other social media posts, DevDay-like events, investor conferences) a growth plan, offering clarity on the expected push into the enterprise market, the (widely-anticipated) launch of an advertising tier, tactics to increase free-to-paid conversion (today just ~5% of ChatGPT users pay, a clear path towards 10%+ would be material) and the launch of other new products. If OpenAI were to lay out its growth plan – not in numbers that many might be skeptical of but rather qualitatively, HOW it plans to hit its targets – this could help restore confidence in OpenAI's outlook and that of its tech suppliers such as Oracle.

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OpenAI Focus on the Enterprise in 2026

In a recent interview, OpenAI's CFO said that the revenue mix from enterprise customers is approaching 40%, while the President of OpenAI posted recently that "enterprise AI is going to be a huge theme of 2026". Material progress on this front could alone improve OpenAI sentiment, reducing the perceived dependency on consumer ChatGPT growth and creating a gap relative to Google, which to date has not successfully monetized Gemini for enterprise workloads and is lagging OpenAI and Anthropic. In mid-November we wrote a report (see here) outlining what we anticipate to be OpenAI's key areas of enterprise focus in 2026, beyond continued success of ChatGPT for enterprise.

Investor concern with the pace of enterprise AI adoption was building throughout 2025 and these concerns picked up in August with the MIT report stating that 95% of enterprise AI use cases have failed. The concern was not that the slow pace of enterprise adoption (beyond Microsoft Copilot/ChatGPT and for coding use cases) would impact the likes of Oracle and Microsoft near-term, as the vast majority of compute capacity being stood up in 2025/2026 was for model training and consumer inference, with enterprise demand for cloud-hosted GPUs too small to be needle-moving anyway. Rather, the concern is that the AI infra market needs enterprise demand to kick in by 2028-2030 to justify the material capacity build-out and to drive an attractive capex ROI.

UBS Enterprise AI Survey

We have not been pushing back on this concern. On the contrary, over the last two years we've been quite vocal that the Street was being far too optimistic about the pace of enterprise AI adoption and that it would happen later than expected, hence our more subdued call on the stocks of the SaaS or application software firms that would benefit from material enterprise adoption. We arrived at this view via plenty of customer and partner conservations but also via our semi-annual UBS Enterprise AI Survey, a comprehensive survey of ~130 mid-large enterprises and every facet of their AI initiatives. We just published our latest AI survey (see link to report here) in mid-December so we won't go into any detail here, but would make two points:

- **Adoption Rising, with AI Agents Still Early-Stage:** Just 17% of respondent organizations are in production at scale with their AI projects, a reminder for tech investors to remain sober about the likely 2026 revenue growth uplift from AI products. But the positive take is the trend line – up from 14% in March 2025, 11% in October 2024, 10% in May 2024 and 6% in November 2023. Enterprise tech adoption ramps slowly, far more slowly than consumer adoption. The deployment of autonomous AI agents has attracted material attention but adoption remains very early-stage, with only 5% of enterprise respondents deploying AI agents "in production at scale".
- **OpenAI is Alive And Well:** Against a backdrop of investor concern that "LLMs are commoditizing" and/or that Google has overtaken OpenAI at the model layer (forcing OpenAI into a "code red" situation), OpenAI ranked very well. OpenAI models secured 3 of the top 5 spots (first, third, fifth) among enterprise users and remains the dominant model provider to enterprises. OpenAI gained ground on Microsoft M365 Copilot via ChatGPT for enterprise and OpenAI secured top-5 spots in AI coding and creative technology. Google Gemini ranked much better than it had in the past but overall, OpenAI has productized its models for enterprise use much more effectively than Google.

UBS Bottom Line

In order for Oracle shares to fully re-rate back to $300+, the broader OpenAI narrative needs to improve. This section of the report ran through the potential drivers of an OpenAI narrative shift in 2026. There isn't much that Oracle or Microsoft can say to calm investor nerves that OpenAI's financial targets are too ambitious and that OpenAI won't be able to scale into its targets and meet its contractual commitments. But as we've outlined above, there are several potential and in our view very plausible paths for that broader OpenAI narrative to improve in 1H26. Our bottom line is that this "OpenAI narrative reversal" has a reasonable enough chance of playing out that we're biased to remaining positive on Oracle and other OpenAI-exposed stocks in 2026.

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Oracle Debt Concerns

While a reversal of the broader OpenAI and AI market investor concerns highlighted in the previous section could alone drive a re-rating in Oracle shares, a full share price recovery back to $300+ is also dependent upon Oracle executing on a host of more Oracle-specific issues. One of the biggest investor concerns apart from the OpenAI counterparty risk is about Oracle's rising debt/leverage as it invests materially today to stand up the AI infrastructure capacity required to fulfill its customer commitments. Let's hit these investor concerns head-on.

Debt and Leverage Ratios

As of the end of Oracle's Nov/25 quarter, the company had $108 billion in total short and long-term debt, and given $19.8 billion in cash and equivalents, Oracle has $88.3 billion in net debt. Looking back, the $28 billion Cerner acquisition – completed in June 2022 and financed materially via debt – came just six months ahead of the "AI moment" and resulted in an opportunity cost of capital that we and investors are really just coming to appreciate now. Oracle's ability to absorb $88 billion in net debt is largely a function of its profitability – its 42% non-GAAP operating margins are among the highest in the software sector and trailing 12-month EBITDA of $31.4 billion equates to an extraordinary 51% of revenues. In particular, Oracle can absorb high levels of debt because of its hugely-profitable database software business.

Oracle's net debt and EBITDA equates to a leverage ratio (net debt divided by trailing 12-month EBITDA) of 2.8x. As illustrated in Figure 4 below, this leverage ratio is considerably worse than larger peers Microsoft and Google, but much stronger than that of CoreWeave. The fact that Oracle shares have materially under-performed Microsoft and Google during this period of "AI bubble" concerns since mid-October is very much a function of relative balance sheet strength, not just the degree of OpenAI exposure.

Figure 4: Oracle's Leverage Ratios Relative to Peers

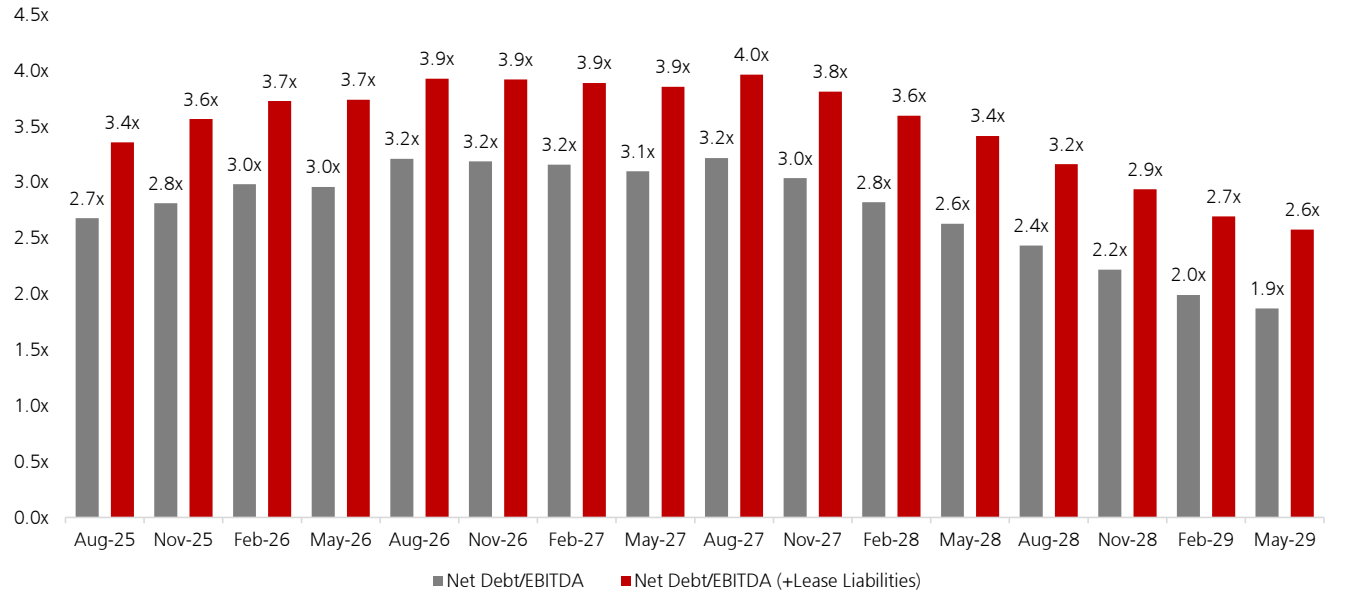
	2025	2026	2027
Oracle:			
Net Debt	88,309	131,309	168,504
TTM EBITDA	31,397	41,199	55,490
Net Debt to EBITDA	**2.81x**	**3.19x**	**3.04x**
Microsoft:			
Net Debt	(47,809)	(61,734)	(65,847)
TTM EBITDA	181,776	208,409	250,633
Net Debt to EBITDA	**(0.26x)**	**(0.30x)**	**(0.26x)**
CoreWeave:			
Net Debt	16,672	32,302	42,699
TTM EBITDA	3,132	8,422	13,807
Net Debt to EBITDA	**5.32x**	**3.84x**	**3.09x**
Google:			
Net Debt	(82,002)	(89,510)	(114,519)
TTM EBITDA	177,690	212,940	250,405
Net Debt to EBITDA	**(0.46x)**	**(0.42x)**	**(0.46x)**

Source: Visible Alpha, UBS estimates

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While a net debt to TTM EBITDA ratio is easily calculated, we'd note that the credit agencies use a different adjusted calculation that takes into account other obligations and hence drive credit rating decisions off a different and higher calculated leverage ratio for Oracle. The biggest difference in the case of S&P (we include key takeaways from a call with the S&P credit analyst in the next section) is the inclusion of lease liabilities into net debt ($18.7b in operating lease liabilities and $5.0b of finance lease liabilities in the Nov/25 quarter). In Figure 5 below, we show our forecasted net debt to TTM EBITDA ratios for Oracle both including and excluding lease liabilities to more closely proxy how credit rating agencies would calculate Oracle's leverage ratios. Including lease liabilities we estimate Oracle's net debt to TTM EBITDA ratio reaching 4x in calendar 2027 before moving lower as the rate of Oracle's cash burn slows as EBITDA ramps.

Figure 5: Oracle's Leverage Ratio Forecast



Source: UBSe

IG Rating – Close to the Edge

On Oracle's recent Nov/25 quarter, the CFO said that "as a foundational principle, we expect and are committed to maintaining our investment grade (IG) debt rating". As we show in Figure 6 below, S&P rates Oracle debt a BBB, at the low end of the IG quality range, with Oracle on negative outlook by both S&P and Moody's. By comparison, S&P rates Microsoft a AAA – the highest possible – while emerging GPU cloud provider CoreWeave is rated B+ or speculative/high-yield. Scaling as a tier-1 GPU cloud provider is increasingly about access to capital and hence variations in the cost of capital – heavily influenced by credit ratings – have a very real P&L impact. Oracle's annualized interest expense is already at $4.2 billion (16% of non-GAAP operating income) and a swing from "mid-BBB" to "low-BBB" (right on the edge) could mean as much as 50bps in terms of Oracle's cost of capital (Oracle's late-Sept $18 billion debt issuance was done at an average interest rate of 5.4% across the various tranches). When Oracle said that it remains committed to its IG rating, it did not clarify which IG rating it is committed to and from which rating agencies, such that we're assuming the lowest tier or BBB- from S&P.

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Figure 6: Oracle's Credit Ratings

Investment Grade	Moody's	Standard & Poor's	Fitch
Strongest	Aaa	AAA	AAA
	Aa1	AA+	AA+
	Aa2	AA	AA
	Aa3	AA-	AA-
	A1	A+	A+
	A2	A	A
	A3	A-	A-
	Baa1	BBB+	BBB+
Oracle	**Baa2**	**BBB**	**BBB**
Weakest	Baa3	BBB-	BBB-

Source: Moody's, S&P Global, Fitch

Conversation with S&P Credit Analyst

Our Financials research team recently spoke with S&P's credit team about Oracle (BBB rated, on negative outlook) and shared the following key takeaways:

- The risks are two sided: high capex, negative cash flow. Leverage is very high - we now see adjusted leverage at 4x, approaching 5x in 2027-2028, our forecast assumes deleveraging in 2028-2029. Our thesis is that this is a transition period, an aggressive spend now to grow into better leverage. On the gap between IG and high-yield, the immediate issue is leverage, consecutive years of negative cash flow. In BB land, you're spec grade. Oracle could operate here but it probably narrows its path. What could they do to preserve IG? They have a lot of room to keep BBB-, they could raise equity.
- Near term risks are bubble/bust and counterparty risk. On OpenAI risk - counterparty risk is becoming magnified, $1.4tn of commitments to various parties, $300 billion to Oracle. That's a target that keeps changing. Oracle disclosed $248bn in lease obligations, to call it massive is an understatement. Funding for Open AI is one risk scenario, if OpenAI can't raise funding. What happens if the Oracle contract is renegotiated? If they restrike the deal and push out spend to 2028, that's probably positive. But the contractual $248 billion of leases is a negative. Worst case is that Open AI can't pay for it but Oracle still has to spend.

Oracle's (Minimal) Financing Disclosures

Heading into Oracle's mid-Oct Investor Day, a key investor concern was the amount of debt that Oracle would be required to take on. Oracle elected to say essentially nothing about either the likely amount and cadence of AI infrastructure capex over the coming years or the amount of debt that it may have to take on. Looking back, this decision to avoid these critical topics coincided with the top of the AI trade and as noted in Figure 1, Oracle shares are -36% since. On its early-Dec earnings call, Oracle did say that it would require less than $100 billion of financing to fund the infrastructure build-out, but a) the company didn't disclose over what timeframe this cumulative amount referred to, b) we and the vast majority of investors we talk to were assuming less than $100 billion anyway, c) nothing was said about the timing of financing needs and d) nothing was said about the shape of out-year capex, when it might peak and at what level. Oracle's level of disclosure about future financing/capex clearly missed the mark, as the stock is -13% since the print.

Oracle's defense for the lack of specificity essentially comes down to the reality that it is exploring a host of financing options – a vanilla debt raise such as the one that it did in September to "off-balance-sheet" options that serve to push the financing burden to third-parties (Nvidia or AMD, private credit firms in the form of GPU lease-back deals or even customers in the form of "bring-your-own-chip" deals, more on this below). As Oracle said on its recent earnings call, these options would enable Oracle to "borrow substantially less than most people are modeling". We're sympathetic to the decision to be imprecise given the range of potential outcomes, but in retrospect, a simple range of required financing (lower if Oracle pursued off-balance-sheet structures, higher if it

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didn't) might have mitigated some of the post-earnings share price weakness. The level of anxiety and perceived credit risk is now high enough that we wonder if Oracle will be forced by bondholders to materially improve its disclosures when it needs to access the credit markets again, disclosures that would presumably be shared with equity investors.

Estimated Required Capex FY26-FY30

With that as context, let's now estimate on our own how much debt Oracle will need to raise. There are many key inputs to this calculation, but in addition to Oracle's EBITDA or operating cash flow profile, the amount of capex to fund the build-out is a critical one, so let's start there. In Oracle's Nov/25 quarter, capex of $12.0 billion was well above our $9.2 billion estimate, driving a material FCF miss, and Oracle raised its FY26 (ended May 2026) capex guidance massively, from $35 billion to $50 billion. Importantly, Oracle has NOT commented on its capex requirements beyond FY26, a decision that has contributed to a wide variation in Street capex, FCF and debt estimates and in our view contributed to the share price weakness.

That said, Oracle has provided revenue guidance through FY30 and hence one method is to calculate required capex by working backwards from this revenue guide using reasonable capex per revenue dollar ratios. On the GPU infra business that is driving much of the revs growth, we're using a ratio of $2.5 of capex per dollar of future revs, which admittedly could be lower if Oracle funds the acquisition of Nvidia GPUs via off-balance-sheet methods, a subject we take up below. For now, pending clarity on how much of the infra build-out might be funded this way, we're estimating total capex of ~ $360 billion over the 5-year period FY26 through FY30. This equates to average annual capex of ~$72 billion over this 5-year period ($50 billion in the current FY26).

As we show in Figure 7 below, by far the largest portion of this or ~$280 billion will go towards the required GPU/AI infrastructure. Oracle has a different capex mix than the hyperscalers given that Oracle relies on partners such as Vantage and Crusoe to build the data center sites, which Oracle then leases (see below for a discussion of Oracle's lease obligations). As such, the vast majority of Oracle's capex is for equipment, mostly Nvidia GPUs. By comparison, we estimate average annual capex of $211 billion over the next 5 years for Microsoft with perhaps 60% or ~$125 billion for short-lived equipment/chips, or 1.7x the average annual capex level of Oracle.

Figure 7: Estimated Capex

Oracle Illustrative Capex Build (FY26-30)			
FY25 Iaas Revs	$10,243		
FY30 IaaS Revs (UBSe)	$152,614		
Net IaaS Revs Added	$142,372		
Net IaaS Revs By Segment	**Revs**	**Capex/Revs**	**Capex**
CPU Revs	13,062	1.5	19,593
Database Revs	16,700	1	16,700
GPU Revs	112,610	2.5	281,524
Total	**142,372**		**317,817**
Capex To Fund Incremental Revs (FY26-30)			317,817
Other/Maintenance Capex (FY26-30)			40,000
Total Capex Needed FY26-30			**357,817**

Source: UBS estimates

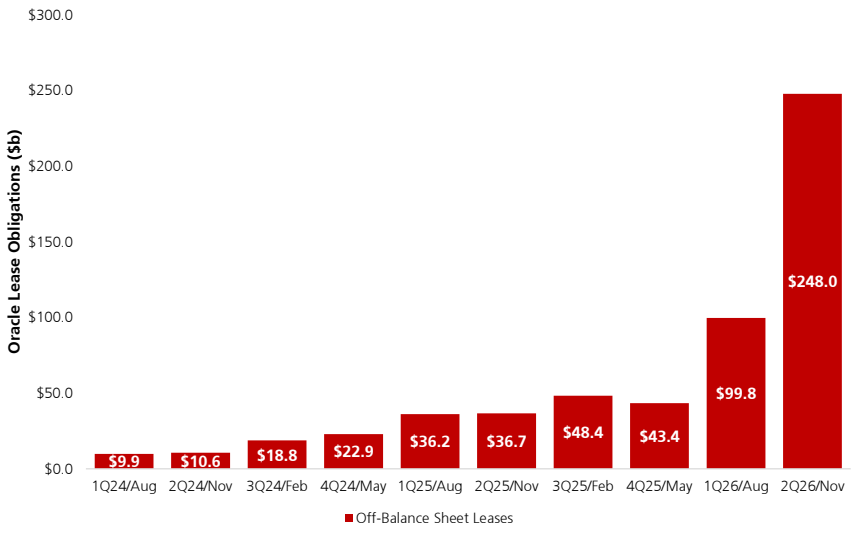
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Nov Qtr Spike in Lease Obligations

As noted above, Oracle's reported capex is not apples-to-apples to that of rivals Microsoft and Amazon given that Oracle partners with data center firms to build and deliver "warm shells", which Oracle leases for long periods. The data center infrastructure is therefore "off balance sheet", with lease obligations (reported in the 10-Q) important to watch as a barometer of early-stage data center builds that – with a lag – will drive subsequent equipment capex. Figure 8 below illustrates the massive jump in lease obligations over the last two quarters. We estimate that these data center leases have an average duration of 15+ years, such that $248 billion of obligations equates to ~$15 billion of annual lease expenses (we believe that this runs through COGS), with cash lease payments beginning once the data centers are delivered to Oracle and hence the leases fully commence. Assuming the lease contracts are non-cancellable, the $248 billion figure illustrates the scale of the investment that Oracle is making.

We'd offer a few observations about the big jump in lease obligations. First, we know that the lease with Crusoe for the Abilene campus was signed at about the time (June 2024) that Crusoe began construction. As such, the huge ramp in recent quarters signals to us that new data center builds are likely beginning, which we would expect given Oracle's need to deliver on its $523 billion backlog. Nonetheless, it's a net positive that the build effort looks to be firmly underway (more below on the pace of the build-outs). Second, for FY30 Oracle has guided to $166 billion in IaaS revs and if one assumes a low-40% GM, then this implies about $96 billion in COGS. Annual lease expense of ~$15 billion implies ~15% of total FY30 COGS. If the non-equipment portion of COGS is closer to 1/3 as Oracle suggested at its investor day, then we can expect total lease obligations to climb even further. Third, if lease expenses sum to ~$2 billion per GW of capacity, then a 15-year lease amounts to $30 billion and hence the current $248 billion sum implies about 8 GW of pending capacity. This syncs with the 5-6 GW of future Stargate capacity disclosed by OpenAI, with another 2-3 GW of leased capacity for other customers such as Meta and xAI.

Figure 8: Oracle Lease Obligations



Source: Company financials

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Required Financing of ~$80 Billion?

Bottom line, we and investors are essentially on our own to estimate Oracle's required level of debt and to judge whether the capital will be available to Oracle at a reasonable cost. Over the period FY26-FY30, we're modeling operating cash flow of $294 billion, using relatively conservative estimates of the GMs on Oracle's GPU infrastructure business, weighed down by lease commitments and other expenses. As noted above, we estimate equipment capex of $360 billion over this same 5-year period, a gap of ~ $65 billion. This gap is wide – over $25 billion of negative FCF - in each of the next 3 years but then turns positive in FY29, as GPU cloud revs ramp materially and (presumably) as annual capex begins to level-off at an estimated ~$80 billion level. This is what the S&P credit analyst was referring to above in terms of Oracle going through a "transition" period before the capex returns really kick-in.

In Figure 9 below, we show an illustrative cash burn analysis, looking at operating cash flow, capex and dividends, the primary needle movers of Oracle's cash burn over the next several years. This analysis implies required financing of just over $80 billion over the next few years until we estimate that FCF turns positive in FY29. This range syncs with Oracle's "less than $100 billion" statement on the recent earnings call. Importantly, this assumes that 100% of the required funding over the next 3 years is "on-balance sheet". Our capex estimate therefore is likely conservative and even assuming just $20-30 billion of capex is done "off balance sheet" would reduce the total amount of additional debt needed to closer to $50-60 billion.

Figure 9: Illustrative Cash Burn Analysis

	FY26	FY27	FY28	FY29	FY30
OCF	$24,356	$33,680	$56,503	$79,082	$100,679
Capex	-$50,240	-$68,451	-$83,631	-$78,766	-$76,601
FCF	-$25,884	-$34,771	-$27,128	$316	$24,078
Dividends	-$5,791	-$6,050	-$6,321	-$6,605	-$6,903
Net Cash Burn	**-$31,675**	**-$40,821**	**-$33,449**	**-$6,290**	**$17,176**
Cumulative	*-$31,675*	*-$72,495*	*-$105,945*	***-$112,234***	*-$95,059*
Maximum Cash Burn		-$112,234			
Starting Cash in FY26		11,203			
Debt Raised in FY26		18,766			
Additional Debt Needed		**-$82,265**			

Source: UBS estimates

Off-Balance Sheet Financing Options

It is very clear that Oracle is actively exploring a host of off-balance sheet options that serve to push the financing burden to 3rd-parties, be it a) vendor (Nvidia and AMD) financing, b) the use of private credit firms that would procure and fund the GPU purchases from Nvidia and enter into a GPU lease-back deal with Oracle and c) "bring your own chip" deals whereby large customers such as OpenAI would fund the GPU purchases via deals they've already signed with chip suppliers such as Nvidia and AMD. As Oracle said on its recent earnings call, these options could allow Oracle to "borrow substantially less than most people are modeling". Oracle would not be breaking new ground with such deals, as Meta, xAI and others have already signed similar deals. If such deals ultimately represent say 50% of the funding requirements over the next 3 years, then our ~$80 billion direct funding estimate for the next 3 years could very well become $40 billion, which would shift the "financing constraint" debate materially, even if it resulted in less-attractive cloud infra margins.

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Would Oracle Raise Equity?

For some time now, Oracle has said that while all financing options are on the table, issuing equity was a financing option of last resort and that among other things, founder Larry Ellison was not interested in diluting himself. That said, Oracle bondholders would applaud this action even if Oracle equity holders did not. We do not have any sense for how seriously Oracle is considering an equity raise, and the public statements to date suggest that pursuing the various off-balance sheet financing structures noted above is the preferred route.

Funding Appetite Appears Intact

At the core of investor concerns about Oracle's need for incremental capital is whether the credit markets are even going to be there for Oracle and smaller peers such as CoreWeave and Nebius that also need to externally-finance their data center build-outs. It's a legitimate question to ask given the pending scale of AI infrastructure investments and there are a host of very real issues for the debt markets to be worried about, including the slow pace of AI monetization relative to the up-front investments, AI capacity go-live hurdles and the high concentration of AI infra demand among a small number of model providers. These risks are absolutely getting priced into infra suppliers such as Oracle, as Oracle shares have sold off sharply and bond as well as CDS spreads have widened in recent months.

But is there convincing evidence that the appetite to fund the AI build-out is waning, such that Oracle may not have access to sufficient capital at reasonable rates? Are we seeing/hearing of any material cracks in the credit markets for AI investments overall? Not really. In September 2025, Oracle issued $18 billion of bonds (including a tranche with a 40-year duration) in a deal that the press (see here) reported was almost 5x over-subscribed. In November 2025, Bloomberg (see here) reported that a consortium of banks was structuring a project finance loan for Oracle for an additional $18 billion tied to the build-out of the New Mexico "Stargate" data center, reportedly at 2.5% above the secured overnight financing rate (SOFR).

In mid-November CoreWeave closed a $2.25 billion convertible note issue, up-sized from the original $2 billion amount. Neither OpenAI nor Anthropic appear to be having any trouble raising capital at higher valuation levels (note the media reports on OpenAI's potential $100 billion raise and in particular SoftBank's efforts to fund OpenAI). Brookfield recently announced plans for a $10 billion equity raise to fund $100 billion of AI infrastructure investments and just last week, SoftBank announced plans to acquire alternative asset manager DigitalBridge for $4 billion. DigitalBridge's portfolio includes major stakes in Vantage and Switch, two key suppliers of AI data center infrastructure for the likes of Oracle and CoreWeave. Bottom line, this doesn't sound to us like a crack in the appetite of investors to fund AI projects.

Statements from Blue Owl, Blackstone and KKR

Over the last month or so, several of the active participants in funding the AI build-out have attended investor events and commented on their AI infra funding efforts and appetite to invest more. In a nutshell, these statements – made during the peak of the AI bubble concerns - don't appear to express any hint at a pull-back in appetite.

- **Blue Owl's CEO:** *We're really excited about our Digital Infrastructure fund and are going back to the market sometime in the second quarter, you know I'm incredibly bullish on it. We can go to Microsoft, Meta, Google, Apple, the biggest companies in the world signing 20-year leases, we get higher cap rates and the same 3% escalators. The way we look at the downside is even if the facilities are worth zero at the end of their lives, we can still make a teens return. So what we're asking investors to do is to say, can Meta, Microsoft, Google and Apple pay you over the 20-year lease period? I'm not saying it's impossible they won't pay, but it's highly improbable. And the imbalance between demand and supply is there, I've never seen a market like this, the demand for compute is here, the supply is here. I see that demand accelerating and I don't see the supply increasing.*

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- **KKR's AI infra head:** *AI itself is not in a bubble, we believe that the demand for AI compute and power is real. This is one of the fastest tech cycles in history and whenever things move this quickly there will be parts of the market that will run a bit hot. It's a timing disconnect, the investments relative to the timing of AI revenues. Will LLMs evolve quickly enough to become true agents and we see productivity gains to justify the investments? If we are two years away from this occurring, then I'd argue that we're under-building infrastructure. If this is 5-10 years away, then flexibility matters and we're likely spending too much today. We don't believe that the industry as a whole is on the verge of an over-build, but one area of concern is that some capex may not be invested prudently, such as GW-scale builds in remote locations for model training for which you have to make a bet on the residual value. We question this premise a bit more and have a preference for data center investments with proximity to users and fungibility across workload types.*
- **Blackstone' President/COO:** *The AI capex cycle is clearly the biggest engine of growth of the economy. If you subscribe to our world view that bringing super-intelligence at scale at a very low cost is going to be transformative, you try to figure out how to invest in that and take the least amount of risk. We've become the leading investor in the infrastructure around this, making massive investments in data centers, but in long-term leased data centers where you don't put a shovel in the ground until you have a 15+ year lease with a very large market-cap company. This continues to be a huge theme for us, AI is still an attractive place to deploy capital. You're not really investing the capital at scale until you have a long-term lease. These are not condos in Miami. This is a much safer underlying activity and I continue to believe that's a really good way to invest in this.*

What We Heard in Scottsdale

At the big UBS Tech & AI Conference in Scottsdale, AZ in early-December, we hosted a number of direct participants in the AI infrastructure build-out, from data center providers to AI financing firms. Below are a few quotes from these firms, which again do not hint to us at any diminished appetite to build and finance the AI build-out.

- **Data Center Provider:** *I think it's important that people ask these questions, are we overbuilding? We are basically contracting with an investment grade customer via Oracle. It's a 15 year deal and we are seeing so much demand, an insane amount of demand, from Oracle and from other large investment grade tech companies. Are we comfortable taking that long-term investment grade credit risk? Yeah. I feel very confident and comfortable in that position. These are 15-20 year contracts. There's a concern that maybe there's an overbuild in the short term. I don't believe that just given the voracious demand we're seeing, every GPU that we can possibly bring online is immediately sold, there's just a voracious demand everywhere. We're very focused on the credit risk that we're taking. Are we matching up properly our liabilities and our revenue streams? We don't want to get in a WeWork situation where you have all of these short term commitments and long-term lease liabilities, we want to be very much matched up. We have the long-term commitments from very high credit quality customers.*
- **AI Financing Provider:** *Our direct exposure to digital infrastructure today is less than 5% of the firm's AUM but I would expect that to grow. There's really two exciting parts of this business. First is the data center side, where we're providing powered shells to many of the hyper-scalers, and then there's the financing of the compute, the largest portion of the ultimate spend. We as a firm are very excited about financing both sides of that. Because it's AI it sounds extremely risky, but at the end of the day, the judgements we are making are whether our tenant is going to pay us our interest on our principle. It's really not a bet on AI. At the end of the day, we're making boring credit decisions, asking if this investment grade counterparty is going to be there to pay our interest and our principal and will we watch our debt balance go to zero by the end of the lease term. The bigger question that I think we all need to answer is whether the amount of capital will be there to fund the associated buildup, which is shockingly large. Will the ABS and investment grade bond markets be able to absorb this? The private credit firms will play a really important role, but the private credit market cannot do this alone. The broader capital markets are going to have to step in to fund the balance.*

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UBS Bottom Line

We don't take Oracle's financing risks lightly, they are serious. Oracle is two downgrades away from losing its investment grade credit rating and having its cost of capital rise materially, the capex needs to service the massive backlog of deals are immense and Oracle will likely have to access the credit markets to the tune of ~$80 billion over the next few years (much lower if Oracle pursues off-balance sheet deals). Oracle shares (as well as credit spreads) now embed a discount for the company's decision not to share much with investors, bondholders and Street analysts about these critical financing issues. These stakeholders need much more from Oracle than a general commitment to an IG rating and guidance that it will need to raise "less than $100 billion" over some undefined period. Credit and equity investors need clarity on the magnitude of capex beyond FY26, clarity on the timing and expected returns from this capex (beyond the Investor Day slide showing 30-40% GMs on a "typical" deal), clarity on exactly what levers Oracle is prepared to pull in order to retain an IG rating and clarity on exactly how the proposed off-balance sheet deals would work and be treated by the rating agencies.

In our view this financing and disclosure discount is deserved. But in the end we step back and recognize several other realities – Oracle's end customers (OpenAI, Meta, xAI) have signed long-term deals with Oracle and are themselves well-funded, Oracle's financing needs might land well below Street expectations if it pursues off-balance sheet deals (certainly if it issues equity), the demand for Oracle-hosted GPU access appears to be very strong and (as discussed below) new AI capacity is expected to ramp in 2026 and beyond. At the risk of vastly oversimplifying, if demand isn't the issue, if AI capacity or supply is not the issue and it appears as if Oracle can drive initial 30-40% gross margins on this business (likely higher in the later years) such that the main hurdle is that we have to find the confidence in Oracle's ability to access funding, we conclude that the -36% move in the stock more than adequately prices-in that risk.

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Other Oracle-Specific Issues

While the financing concerns noted above have dominated investor discussions over the last few months, this is not the only concern coming out of Oracle's Nov/25 print. Let's turn to these other key debates before addressing the stock's valuation.

Abilene – Capacity and Revenue Ramp

The primary AI data center ramp that is driving the near-term acceleration in Oracle's cloud infra segment is the "Stargate 1" project in Abilene, TX, built by Crusoe, with Oracle as the tenant and OpenAI the end customer. Back in May 2025 we wrote a deep-dive on the Abilene build (see report here) and if anything, the timeline to completion now looks to be much faster than we expected then. On its Nov/25 call, Oracle disclosed that "our super-cluster in Abilene, TX is on track with more than 96,000 Nvidia GB200s delivered". Based on our estimate that the current permitting of Abilene will allow for ~400,000 GB200s, this implies that about one-quarter of Abilene is live, a quick 4-month ramp given that parts of the first of the eight data centers or buildings in Abilene only began going live in July. In late-July 2025, OpenAI posted that "construction of Stargate 1 in Abilene is progressing and parts of the facility are now up and running. Oracle began delivering the first Nvidia GB200 racks last month".

In mid-November, Crusoe posted that "we've officially topped-off the eighth and final building of our flagship Abilene data center campus". To be clear, this doesn't mean that the building is finished and handed over to Oracle. As one industry check told us, "when you put the roof on the building and your steel's all done, you can then start working on the guts of the data center". But in our judgement this implies a full Abilene ramp by the summer or fall of 2026, faster than we expected. Neither Crusoe nor Lancium, key players in the Abilene build-out, are hinting at any delays in Abilene, with one check telling us in early-Dec that "while I would love to be way ahead of schedule, this was actually our planned schedule, it was a very aggressive plan and we're hitting it".

Bottom line, this does not sound like a delayed AI data center build-out. On the contrary. We'd also note that if indeed OpenAI is planning for a material AI model improvement in 1Q26, then it is highly likely that OpenAI is banking on significantly greater access to Nvidia GB200/GB300 training compute capacity. This could be coming from other partners such as Microsoft (with its Fairwater campuses) and CoreWeave, but there is a pretty good chance that by giving a 1Q26 timeframe for "GPT-6", OpenAI is banking on a material near-term ramp of training capacity in Abilene, where ~100,000 GPUs are already live. That would be an unusual timeline to give if in fact Abilene was subject to material delays.

Speculation of Delays May be Greatly Exaggerated

There will always be delays with sites of this scale – 1+ GW of power, with 8,000+ workers on site (Crusoe had to build a 5,000-vehicle parking lot) and an extraordinarily complex supply chain with numerous critical components (step-down power transformers, gas turbines). As Crusoe put it, "it's kind of like a game of whack-a-mole" in terms of overcoming constraints. We unpacked one such constraint months ago in a conversation with a general contractor, who told us that Eaton Corporation, responsible for the step-down power transformers, sourced these components from China and they arrived in Abilene with defects. This struck as a temporary delay, nothing material. In late-Nov, an AI research firm published a report that Abilene was delayed, citing, among other things, that 128 on-site chillers were completely idle. One of the checks at the UBS Tech & AI Conference in Scottsdale in early-Dec countered that the chillers on-site in Abilene were idle because it was 55-degrees in Texas and they simply didn't need them, not because of go-live delays. Getting these massive AI data centers live is a messy and complex process, there WILL be delays, and we need to stay balanced when interpreting media stories about delays.

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The Abilene Revenue Ramp

In Oracle's most recent Nov/25 print, c/c OCI growth accelerated to 66% (although this missed Street expectations modestly) from 54% and sequential OCI revenue dollar growth – from a base of $340-350 million in each of the previous two quarters – was up markedly to $730 million, an increase of ~$385 million. Much/most of this increase is due to the ramp in OpenAI spend with Oracle as the Abilene campus went live in late-July, such that the Nov/25 quarter was Oracle's first with Abilene live at enough scale to be needle-moving. To hit Oracle's guidance for $18 billion in cloud infra revs in FY26 or 76% growth, y/y growth in cloud infra revs will have to accelerate to 87%+ in the Feb/May 2026 quarters.

Is this doable? In our view yes. We show the GPU ramp in Figure 10 below, from the base of 96,000 as at the end of the Nov/25 quarter as disclosed by Oracle to the peak scale of 400,000 GPUs. Assuming that the 96,000 GPU disclosure was a quarter-end figure, the average throughout the quarter may have been closer to 50,000, which equates (see assumptions below) to incremental sequential revs of ~$300 million. As noted above, this syncs with the fact that Oracle's sequential growth in the Nov/25 quarter was ~$385 million above the pre-Abilene level, suggesting that the bulk (not all) of the acceleration in the cloud infra segment to 66% growth was the ramp of Abilene. As noted below, a continued ramp to 200,000 GPUs by the end of the current Feb/26 quarter (with a quarter average of ~150,000) implies sequential revs growth of ~$600 million from Abilene, and yet to hit our cloud infra growth estimate of 83% in Feb/26, Oracle needs to post total sequential revs growth of $850 million. In other words, sequential growth from the rest of the OCI customer base can slow materially and Oracle would STILL hit our estimate.

Figure 10: Abilene Revenue Ramp

Abilene Revenue Contribution			
Total Abilene Revs (400k GB200s)			
Number of GPUs			400,000
$ per Hour			$4.50
Discount			40%
Annualized Revs ($m)			**$9,461**
Quarter	Average Active GPUs	Sequential Revs	Annualized Revs
1Q/Aug-25	1,000	**$6**	$24
2Q/Nov-25	50,000	**$290**	$1,183
3Q/Feb-26	150,000	**$591**	$3,548
4Q/May-26	250,000	**$591**	$5,913
1Q/Aug-26	350,000	**$591**	$8,278
2Q/Nov-26	400,000	**$296**	$9,461

Source: Company data, UBS estimates

Concerns about Other Site Delays

Investors have been subject to numerous media reports over the last few months about delays at other pending Oracle/Stargate data center sites. In response, Oracle issued a statement in mid-Dec saying that "*there have been no delays to any sites required to meet our contractual commitments, and all milestones remain on track*". Below are a few of the key large sites, for which Oracle has been named as the tenant, that we're watching carefully. We suspect that the massive jump in lease obligations noted above is partly related to several of these builds moving forward.

- **Michigan, Saline Township:** Utility provider DTE Energy recently received regulatory approval for the requisite power associated with a 1.4 GW build by Oracle, for OpenAI, near Ann Arbor Michigan. This site was the center of investor Attention in mid-December when the FT published a story (see report here) that Oracle partner Blue Owl had elected to not finance the site, with FT stating that Blackstone was in discussions to step in and finance the deal. Oracle stated that

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the Michigan data center is on schedule and that the builder, Related Digital, chose the best equity partner in a competitive process (not Blue Owl).

- **Texas, Shackelford County:** In mid-Dec, Oracle's data center partner Vantage announced that it is breaking ground on a 1.4 GW Stargate ("Frontier") campus in Texas, with the first building set to go live in the second half of 2026.
- **Wisconsin, Port Washington:** Oracle recently posted that it broke ground in Wisconsin for a ("Lighthouse") new AI data center being built by data center partner Vantage, slated for completion in 2028.

Bring Your Own Chip Deals

Investors were presented with a curveball on Oracle's Nov/25 earnings call when Oracle disclosed that, in an effort to reduce the strain on its balance sheet, it was considering "financing options through customers that may bring their own chips to be installed in our data centers". Oracle had hinted at options such as vendor financing and structuring GPU lease-back deals with private credit firms, but the "bring your own chips" or BYOC structure was new. This is not a structure that one sees from enterprise customers, such that we and the Street are assuming that it is unique to OpenAI, which has already cut large and long-term deals with Nvidia and AMD. We're staying balanced on the merits of these deals. The capital burden associated with this AI infrastructure build-out is immense and plenty of high-quality firms (Oracle, OpenAI, Meta, xAI) are pursuing creative financing options that don't put undue stress on their balance sheets.

On Oracle's earnings call-back with Street analysts, the CFO - when pressed – only said that these BYOC deals could have a different financial profile, but Oracle was not clear about the margin profile or the portion of capacity being stood up for OpenAI that might be delivered via a BYOC structure. It is now investor consensus that this is lower-quality business, with both a lower revenue profile as well as a lower margin profile, and that Oracle did NOT embed this in its guidance offered just two months ago at its Investor Day. In a nutshell, this deal structure is being interpreted as Oracle sacrificing margins to protect its balance sheet and cash flow. Pending more clarity on these deal structures, we're trimming our out-year financial estimates modestly to reflect the presumably weaker financial profile.

Why $15 Billion of Capex Only Converts to $4 Billion of Revs

Another popular investor question coming out of the Nov/25 print – which Oracle did not fully address on the earnings call - was why Oracle would raise its total revenue guidance by only $4 billon in FY27 if the capex guidance was raised by $15 billion in FY26. The benign answer would be timing, that a large portion of the incremental FY26 capex lands in 4Q/May and given the lag to convert GPU capex to revs, the $4 billion in incremental FY27 revs does not represent a full or annualized amount. We get it, but Oracle has been very clear that "equipment capex is purchased very late in the data center production cycle, allowing us to quickly convert cash spent into revenues", and in fact Oracle expressed that this capex-to-revs conversion can occur within as short a timeframe as 1-2 months. Oracle's capex of $12 billion in the Nov/25 quarter was well above the previous guidance and yet the FY26 guidance wasn't raised at all. We're sympathetic to the investor concern that the FY26 revs guidance wasn't changed and the FY27 guidance was "only" moved up by $4 billion, signaling a lower (or at least slower) capex ROI. We're going with the "timing" explanation for now, with the only alternative explanations being a) Oracle is being conservative and leaving room for upside or b) that the FY27 GPU revs boost from the higher FY26 capex is indeed more than $4 billion, but that Oracle de facto trimmed its FY27 non-AI revs guidance.

Pace of Backlog Conversion

Oracle disclosed the updated RPO/backlog duration data in its 10-Q, detailed in Figure 11 below. It is clear from this data that the bulk of the deal backlog converts to revenues in 3+ years, so beginning in 2028. This is supported by the fact that the revenue guidance shows a marked inflection beginning in FY28 and by the fact that many of the new AI data center builds noted above should be fully ramped by that time. Also note that the bulk of the backlog added during the Nov/25 quarter was for deals (with Meta and Nvidia among others) with a backlog-to-revs conversion in the 1-3 year timeframe, a

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positive relative to backlog growth that only converts 3+ years out.

Figure 11: RPO Duration

Oracle Backlog Analysis (10-Q/K Disclosures)							
	4Q/May-24	1Q/Aug-24	2Q/Nov-24	3Q/Feb-25	4Q/May-25	1Q/Aug-25	2Q/Nov-25
RPO ($b)							
0-12 months	38.2	37.7	38.4	40.4	45.5	45.5	**52.3**
12-36 months	35.2	37.7	38.4	52.1	56.5	113.8	**157.0**
36+ months	24.5	23.8	20.5	37.8	35.8	295.9	**314.0**
Total	**97.9**	**99.1**	**97.3**	**130.2**	**137.8**	**455.3**	523.3
Y/Y Growth							
0-12 months	*15%*	*18%*	*22%*	*17%*	*19%*	*21%*	***36%***
12-36 months	*48%*	*66%*	*67%*	*86%*	*60%*	*202%*	***309%***
36+ months	*125%*	*129%*	*84%*	*114%*	*46%*	*1144%*	***1429%***
Total	***44%***	***53%***	***49%***	***62%***	***41%***	***359%***	***438%***
Sequential Change (q/q in $)							
0-12 months	3.7	-0.5	0.7	2.0	5.1	0.1	**6.8**
12-36 months	7.2	2.4	0.7	13.7	4.4	57.3	**43.2**
36+ months	6.8	-0.7	-3.3	17.2	-1.9	260.1	**18.0**
Total	**17.7**	**1.2**	**-1.8**	**32.9**	**7.6**	**317.5**	68.0
% of RPO							
0-12 months	39%	38%	39%	31%	33%	10%	**10%**
12-36 months	36%	38%	39%	40%	41%	25%	**30%**
36+ months	25%	24%	21%	29%	26%	65%	**60%**
Total	100%	100%	100%	100%	100%	100%	**100%**

Source: Company financials

An OCI Acceleration Might Quell Many Concerns

There is nothing like a good old-fashioned revenue acceleration to quiet investor concerns. We can imagine the OpenAI narrative improving when Oracle, Microsoft, Amazon and others begin to show even more marked growth accelerations in their cloud infra segments Azure, OCI and AWS, respectively. To be clear, as we note below, this has ALREADY begun to occur and yet it did not improve the Oracle narrative. But the revs growth acceleration from serving OpenAI and other large customers has only just begun – really just in the most recent quarter – and the OpenAI narrative could improve if OpenAI and Anthropic spend on the major cloud providers bends their growth curves markedly higher, which could happen in the coming quarters.

- **Oracle:** In Oracle's most recent Nov/25 print, c/c OCI growth accelerated to 66% (although this missed Street expectations modestly) from 54% and sequential OCI revenue dollar growth – from a base of $340-350 million in each of the previous two quarters – was up markedly to $730 million in the Nov/25 quarter, with much of this due to the ramp in OpenAI spend with Oracle. To hit Oracle's guidance for $18 billion in cloud infra revs in FY26 or 76% growth, y/y growth in this key segment will have to accelerate to 87%+ in the Feb/May quarters.
- **Microsoft:** Azure growth has been stable at 39% in each of the last two quarters but this is up from 34-35% in the year-ago quarters. While Microsoft has described the upside as coming more from the "core", we believe that a material portion of the growth acceleration stems from increased AI capacity and OpenAI spending for both training and inference compute. As Microsoft stands up additional AI infra capacity in the Mar/Jun 2026 quarters (with much of this capacity for OpenAI), there is a strong case to be made that Azure growth could accelerate.
- **AWS:** AWS posted a 3-point acceleration in 3Q25 revs growth to 20% and sequential revenue dollar adds of $2.13 billion was up a full 82% y/y, presumably based in part on a pick-up in Anthropic's spend on AWS. AWS growth could get a material tailwind in 1H26 as Amazon's Project Rainier data center capacity continues to ramp.

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The Nov/25 Results Come Up Short

The weakness in Oracle shares post the recent Nov/25 print was clearly due to insufficient disclosures about capex/financing needs as well as the issues cited above, but it also stemmed from the fact that the reported results simply disappointed on several levels and almost no explanation was provided. Total revs growth of 13% was in-line (albeit up from 9% a year ago), cloud infra growth of 66% was a shade light (we were modeling 68%), SaaS growth of 11% fell short of Oracle's guide for an acceleration, the Feb/26 guide for 37-41% Cloud revs growth fell short of our 42% estimate and license revs (at this point mostly database license revs) were well below our estimate and down a full 23% y/y in c/c. The conversion of backlog/capex/revs to bottom-line results also fell short, reflected in GM dollar growth of 7% (in-line), OM dollar growth of 10% (below our 12% estimate) and OCF of $2.1b (below our $3.2b estimate). EPS exceeded the guidance but this was due to a one-time gain and Oracle didn't disclose adjusted EPS to offer a comparison to the guidance (we estimate adjusted non-GAAP EPS, ex the gain, of $1.52, BELOW the guidance of $1.61-$1.65).

Bottom line, Oracle investors have enough to worry about without evidence of mixed execution/demand on the core business, such that the stock in our view absolutely deserved to be down post the print. It also didn't help that Oracle elected not to explicitly reaffirm the full year 2026 guidance on the public call, including cloud infra growth target (of $18+ billion) or the full year EPS target (of $6.85), although a comment from Oracle on the call-back that its mid-October Investor Day guidance remains intact implies to us that the FY26 guidance still holds (apart, as noted, from the FY26 capex guidance raise and the FY27 revenue guidance raise).

The TikTok Deal and ByteDance

In mid-December, the media (see here) reported that ByteDance-owned TikTok may be poised to sell its US entity to a US-owned joint venture by the end of January. Throughout the TikTok negotiations in 2025, Oracle was cited as being part of the JV. Of course the terms of any deal have not been announced but earlier this year the media was reporting that TikTok's US entity might sell for $14 billion. If that proves to be correct and Oracle takes, say, a 20% stake, then this equates to a ~$3 billion investment. While this might be perceived as straining Oracle's financials even more, a more optimistic view would be that a stake would help preserve Oracle's role as TikTok's US/Europe cloud infra partner (a deal that we estimate could be worth $750+ million annually for Oracle) as well as being a good financial investment.

Would Oracle Take on a Large ByteDance Deal?

We've wondered for some time whether the resolution of the US-TikTok drama might be the catalyst for ByteDance, TikTok's parent, to sign a new long-term cloud commitment with Oracle, which already serves TikTok and ByteDance. A few weeks ago the FT (see here) wrote that China-based ByteDance has set preliminary plans to spend $23 billion on capex in 2026, a large portion of which would be spent on AI chips, in addition to leasing data centers outside of China. We wonder if ByteDance could represent a larger Oracle customer in 2026 given the scale of the TikTok relationship and the spending commitment that Oracle has made to Asia/Malaysia. On the other hand, we wonder if Oracle may hesitate to commit material financial and capex resources to new cloud infra customers in 2026 given the balance sheet risks that are already weighing heavily on its stock and bond spreads. It's possible that in 2026 Oracle could pivot somewhat and pursue new deals with shorter commitments and with more capital-light terms.

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Our Estimates and the Stock's Valuation

Let's wrap with a discussion of how everything flagged above impacts our Oracle financial estimates and our view of the valuation multiple.

The Biggest Acceleration Story in all of Tech

For FY26 ended May 2026, Oracle has guided to total revs of $67 billion (for growth of 16%, a massive acceleration from 9% c/c growth in FY25 and 6% in FY24), cloud infra revs of $18 billion (for growth of 76%, up from 51% in FY25) and non-GAAP EPS of $6.85 (which appears to be a lay-up with the one-time gain in the Nov/25 quarter). For the current Feb/26 quarter, Oracle has guided to 17% total c/c revs growth at the midpoint, a 4-point acceleration against a reasonably easy y/y compare (Oracle missed the low end of its guidance in the year-ago Feb/25 quarter), and c/c Cloud revs growth of 37-41%, an acceleration from 33% growth in Nov/25 and 27% growth in Aug/25. Beyond FY26, Oracle has guided to a further and material revs growth acceleration to 33% in FY27 and 46% in FY28. Amidst all the investor angst, we need to remind ourselves that this is the most impressive revs growth acceleration story in all of tech.

- **FY26 Could be Conservative:** As noted in our discussion of the Abilene go-live above, we estimate that if Oracle brings another 100,000 GPUs on-line in Feb/26 (doubling the scale quarter to quarter), the sequential revenue dollar adds from Abilene alone could be ~$600 million. If the rest of the cloud infra segment adds "just" $250m in incremental revs (the lowest in a year), then total cloud infra growth in Feb/26 could exceed 80% (we're modeling 83%), which it needs to in order to hit Oracle's guidance for 76% growth or $18 billion in FY26. But given total Cloud (IaaS and SaaS) growth guidance of 37-41% in Feb/26, our +83% IaaS growth estimate implies SaaS grow decelerates to 8-9% (odd given Oracle signaled an acceleration) in order for total Cloud revs growth to land at 40%, towards the higher end of the guide. Either we're over-modeling the ramp of Abilene, Oracle's SaaS segment is REALLY weakening or the Cloud guide looks too low. As noted, the fact that the 2Q-4Q capex was raised by $15 billion and yet total FY26 revs growth is unaffected also strikes us as being conservative. That said, we make this "conservative guide" argument with some hesitation as Oracle does NOT have a track record of being conservative with its guidance.
- **Trimming Out-Year Estimates:** The guidance for a revs growth acceleration from 16% in FY26 to 33% in FY27 and 46% in FY28 is extraordinary, but it also depends on a lot of things going right, including OpenAI's ability to scale, secure funding and meet its commitments as well as Oracle's ability to execute on the delivery of capacity and drive an attractive ROI/GM on these investments. Post the Nov/25 print we set our revs estimates BELOW the guidance, by 1% in FY27 and 2-5% in each of FY28-FY30, to reflect these risks. In our view the risk profile is now higher given the potentially weaker economics on BYOC deals and the risk that Oracle needs to throttle back on future commitments in order to protect its balance sheet. As such, we are discounting the current FY27-FY30 revs guidance even further.

Figure 12: UBS Revised Estimates

	FY26			FY27			FY28			FY29			FY30		
	New	Old	Delta	New	Old	Delta	New	Old	Delta	New	Old	Delta	New	Old	Delta
Total Revs	67,057	67,057	0.0%	85,564	87,864	-2.6%	123,898	126,998	-2.4%	169,746	177,846	-4.6%	204,270	215,070	-5.0%
Yr./Yr. (CC)	15.6%	15.6%		27.6%	31.0%		44.8%	44.5%		37.0%	40.0%		20.3%	20.9%	
Gross Profit	45,025	45,025	0.0%	52,714	54,121	-2.6%	67,802	69,481	-2.4%	87,893	92,026	-4.5%	107,067	112,683	-5.0%
% Margin	67.1%	67.1%		61.6%	61.6%		54.7%	54.7%		51.8%	51.7%		52.4%	52.4%	
Operating Income	28,503	28,503	0.0%	34,974	35,919	-2.6%	47,329	48,494	-2.4%	65,413	68,496	-4.5%	83,974	88,360	-5.0%
% Margin	42.5%	42.5%		40.9%	40.9%		38.2%	38.2%		38.5%	38.5%		41.1%	41.1%	
EPS	7.34	7.35	-0.1%	7.42	7.80	-4.8%	9.93	10.44	-4.9%	14.27	15.28	-6.7%	18.74	20.08	-6.7%
Capex	50,240	50,240	0.0%	68,451	70,291	-2.6%	83,631	85,724	-2.4%	78,766	82,546	-4.6%	76,601	80,651	-5.0%
Adj. FCF	(25,884)	(25,854)	NM	(34,771)	(33,764)	NM	(27,128)	(27,478)	NM	316	2,494	NM	24,078	26,068	-7.6%
% Margin	-38.6%	-38.6%		-40.6%	-38.4%		-21.9%	-21.6%		0.2%	1.4%		11.8%	12.1%	

Source: UBS estimates

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Stress-Testing for the OpenAI Risk

For FY30, Oracle has guided to non-GAAP EPS of $21.00. It is tough to accurately measure the impact of the OpenAI deal, as Oracle never disclosed the exact scale and duration of its OpenAI commitment, or the margin structure on this particular deal. But Oracle did disclose that "a large customer" (presumably OpenAI) would contribute $30 billion in revs in FY28. A $270 billion OpenAI deal over 7-8 years equates to average annual OpenAI revs of ~$35 billion (syncing with the $30 billion disclosure in FY28, assuming higher revs in the out-years). We can stress-test our EPS estimates by assuming three scenarios - a positive scenario (OpenAI ramps even further, reaching $50 billion in FY30 revs), a modestly negative scenario (OpenAI disappoints, landing at $25 billion in FY30 revs) and a disaster scenario (the commitment is cancelled and OpenAI spend ends up at zero by FY30).

The EPS contribution under each scenario is shown in Figure 13 below. We then show what the core or ex-OpenAI EPS would be under each scenario, using Oracle's FY30 non-GAAP EPS guidance of $21.00 as a base. We add an additional EPS discount factor to scenarios two and three, on the assumption that Oracle may not be able to fully reconfigure unused OpenAI capacity for alternative customers, resulting in a revs/margin hit and in these scenarios we also discount ex-OpenAI EPS by an additional 5%/10% in scenarios 2/3, respectively to further "de-risk" these estimates. Bottom line, even under the disaster scenario, the implied multiple on "de-risked" FY30 EPS estimates looks pretty reasonable. Relative to this "scenario three" P/E multiple of 12.5x, note that Microsoft trades at 18x our FY30 non-GAAP EPS estimates. A discount to Microsoft is in our view deserved, but the gap is wide and Microsoft too has material OpenAI exposure.

Figure 13: Impact of OpenAI Outcomes on Oracle EPS

	Scenario 1	Scenario 2	Scenario 3
OpenAI Revs - FY30	$50,000	$25,000	$0
Gross Margin	35%	30%	25%
Operating Margin	28%	20%	15%
OpenAI EPS Contribution	**$3.76**	**$1.37**	**$0.00**
Implied Non-OpenAI EPS	$17.24		
Total FY30 EPS Guidance	$21.00		
FY30 EPS Scenarios			
Total FY30 EPS Guidance	**$21.00**	**$21.00**	**$21.00**
Headwind From Lost OpenAI Revs	$0.00	-$2.40	-$3.76
EPS From Repurposed OpenAI Infra (1)	$0.00	$0.34	$0.17
Discount to Core/Non-OpenAI EPS (2)	$0.00	-$0.86	-$1.72
Total Oracle FY30 EPS	**$21.00**	**$18.08**	**$15.68**
Total EPS Headwind Relative to Guide	*$0.00*	*-$2.92*	*-$5.32*
Implied P/E	***9.3x***	***10.8x***	***12.4x***
UBSe EPS	**$18.74**		

(1) assumes ORCL replaces half of lost OpenAI revs at 10%/2.5% OMs in Scenarios 2/3
(2) assumes 5%/10% discount to implied non-OpenAI FY30 EPS ($17.24) in Scenarios 2/3

Source: UBSe

Valuation Multiples

As noted in Figure 14 below, Oracle shares trade at 29x CY26 EPS (above the peer group) and at 11x FY30 EPS. Given Oracle's guidance for a 32% FY26-FY30 or 4-year non-GAAP EPS CAGR, these multiples strike us as being reasonable, even if we discount the EPS guidance to reflect various OpenAI and Oracle execution risks. In Figure 15 below, we present a sum-of-the-parts analysis, backing into an estimate of what the current stock price is assuming for the high-growth but riskier GPU infrastructure business. We disaggregate CY27 revs, assigning a 10x FCF multiple to Oracle's core ex-Cloud revenue stream, a 15x FCF multiple on the SaaS business (roughly in-line with that of Salesforce, Adobe and Workday) and a 25x P/E multiple on the CPU-based cloud infra (including database) business. Based on these assumptions, this leaves a gap of ~$200 billion that the stock is embedding for the GPU business. Given estimated GPU cloud

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revs of $30 billion in CY27, this implies a revenue multiple (before accounting for debt) of 7x and something like 12x estimated EBITDA assuming 35% GMs and minimal opex. In our judgement, these are very conservative multiples on the AI infrastructure business that more than adequately reflect the risk profile.

Figure 14: Peer Group Valuation Multiples

Company	Ticker	Price 1/1/2026	% Change YTD	Market Cap	Revenue Growth CY25E	Revenue Growth CY26E	Revenue Growth CY27E	EV/FCF CY25E	EV/FCF CY26E	EV/FCF CY27E	P/E CY25E	P/E CY26E	P/E CY27E
ServiceNow, Inc.	NOW	$153.19	0%	$163,380	21%	18%	19%	35.4x	29.5x	24.4x	44.0x	37.5x	31.3x
SAP SE	SAP-DE	$208.35	0%	$261,091	8%	10%	13%	32.9x	27.0x	22.9x	34.5x	29.0x	24.4x
Alphabet, Inc.	GOOG	$313.80	0%	$3,887,982	14%	14%	13%	58.6x	56.4x	40.7x	29.5x	27.9x	24.3x
Oracle Corp.	**ORCL**	**$194.91**	**0%**	**$576,832**	**11%**	**24%**	**34%**	**NM**	**NM**	**NM**	**28.6x**	**28.6x**	**24.1x**
Amazon.com, Inc.	AMZN	$230.82	0%	$2,467,516	12%	11%	11%	117.8x	51.2x	37.0x	32.3x	29.2x	23.8x
Microsoft Corp.	MSFT	$483.62	0%	$3,634,103	15%	16%	15%	50.9x	48.1x	43.6x	32.5x	27.7x	23.5x
Autodesk, Inc.	ADSK	$296.01	0%	$64,345	17%	11%	10%	28.2x	24.8x	21.6x	29.4x	25.8x	22.5x
Salesforce, Inc.	CRM	$264.91	0%	$256,057	9%	11%	9%	17.9x	16.4x	14.4x	22.8x	20.3x	17.7x
Workday, Inc.	WDAY	$214.78	0%	$56,487	13%	12%	12%	21.0x	17.2x	14.2x	24.0x	20.3x	16.7x
Adobe, Inc.	ADBE	$349.99	0%	$149,516	11%	10%	9%	15.1x	14.5x	13.1x	16.5x	14.8x	13.1x
Mean:			**0%**		**13%**	**14%**	**15%**	**42.0x**	**31.7x**	**25.8x**	**29.4x**	**26.1x**	**22.1x**
Median:			**0%**		**12%**	**12%**	**12%**	**32.9x**	**27.0x**	**22.9x**	**29.5x**	**27.8x**	**23.7x**

Source: FactSet, UBS estimates

Figure 15: Sum of The Parts Analysis

Segment	CY27 Revs	EPS	FCF	Market Cap	Val/Share	Methodology
Total	**$101,232**			**$569,527**	**$195**	
OCI - CPU + Database	$20,874	$2.57		187,867	$64	25x P/E
SaaS	$18,233		5,926	78,886	$27	15x FCF
Oracle Ex. Cloud	$32,135		11,247	102,472	$35	10x FCF
OCI - GPU	**$29,990**			**200,302**	**$69**	
to CY27 Revs				***6.7x***		
to CY27 EBITDA				***11.1x***		

Source: UBS

UBS Bottom Line

Against a drumbeat of negative press and investor concerns over the last few months, about Oracle's risk profile as well as the broader AI trade, let's remind ourselves of a few key things. First, Oracle's revs growth acceleration story – from 16% in FY26 to 33% in FY27 and 46% in FY28 – is not only the most impressive in all of tech (even if one discounts the guidance) but it has barely even begun. The recent Nov/25 quarter was the first when the closely-watched cloud infra segment really accelerated (as Abilene went live) and total revs growth broke out of the 8%-11% range that it has been in for the last 5 quarters. It is conceivable that a good ole' revs growth acceleration to 20%+ and clearer evidence of Abilene and other new AI data center ramping throughout 2026 serve to quell many of the current concerns. Second, we're going through a messy front-end loaded AI investment cycle, for which companies such as Oracle, Microsoft and CoreWeave have to invest aggressively ahead of demand. The risks are staring us in the face while the payoff is more challenging to see, and we want to stay grounded and not take our eye off the ball.

Moreover, as we've discussed in this report, there are several potential and in our view very plausible paths for the broader OpenAI narrative to improve in 1H26, including a large OpenAI funding round, a material OpenAI model improvement (GPT-6 in March/April?) and/or progress in scaling up in the enterprise, thereby tempering the perceived consumer AI competitive risk. On the Oracle financing front, far more clarity from Oracle as well as the announcement of off-balance sheet structures could help stabilize investor concerns about Oracle's credit risk. To date, we have not seen convincing evidence of cracks in the credit markets or other sources of funding for the AI infrastructure build-out. Lastly, Abilene appears to be ramping as planned and while we will certainly hear anecdotes of delays in the AI data center build-out throughout 2026, we're not convinced that there are any clear structural or insurmountable hurdles to standing up capacity.

That said, we're eyes-wide-open to the risks – that OpenAI doesn't scale in 2026 as expected, that Oracle's credit quality weakens and that this AI build-out is so fluid that Oracle has not adequately anticipated the execution risks and may need to figure things out on the fly, adding uncertainty to the assumed RPO or backlog conversion as well as

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Oracle's financial guidance. Bottom line, we conclude that these risks were quickly priced into the stock in 4Q25 and that the risk-reward now skews more positive as we begin 2026. We remain Buy-rated.

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Oracle Corporation (ORCL.N)

Income Statement (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Revenues	**49,955**	**52,961**	**57,399**	**67,057**	*16.8*	**85,564**	*27.6*	**123,898**	**169,746**	**204,270**
Gross profit	36,982	38,536	41,313	45,025	*9.0*	52,714	*17.1*	67,802	87,893	107,067
EBITDA (UBS)	**23,430**	**26,183**	**28,901**	**36,078**	*24.8*	**47,455**	*31.5*	**68,535**	**99,496**	**126,964**
Depreciation & amortisation	(2,526)	(3,129)	(3,867)	(7,575)	*-95.9*	(12,481)	*-64.8*	(21,207)	(34,083)	(42,990)
EBIT (UBS)	**20,904**	**23,054**	**25,034**	**28,503**	*13.9*	**34,974**	*22.7*	**47,329**	**65,413**	**83,974**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	(3,967)	(3,612)	(3,518)	(1,603)	*54.4*	(7,449)	*-364.8*	(9,780)	(10,433)	(10,344)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**16,937**	**19,442**	**21,516**	**26,900**	*25.0*	**27,525**	*2.3*	**37,549**	**54,980**	**73,631**
Tax	(2,760)	(3,733)	(4,231)	(5,408)	*-27.8*	(5,367)	*0.7*	(7,322)	(10,721)	(14,358)
Profit after tax	**14,177**	**15,709**	**17,285**	**21,493**	*24.3*	**22,157**	*3.1*	**30,227**	**44,259**	**59,273**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(1,421)	(2,704)	(4,506)	(6,205)	*-37.7*	(7,000)	*-12.8*	(7,200)	(7,400)	(7,600)
Net earnings (local GAAP)	**12,756**	**13,005**	**12,779**	**15,288**	*19.6*	**15,157**	*-0.9*	**23,027**	**36,859**	**51,673**
Net earnings (UBS)	**14,177**	**15,709**	**17,285**	**21,493**	*24.3*	**22,157**	*3.1*	**30,227**	**44,259**	**59,273**
Tax rate (%)	16.3	19.2	19.7	20.1	*2.2*	19.5	*-3.0*	19.5	19.5	19.5

Per Share (US$)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
EPS (UBS, diluted)	5.12	5.56	6.03	7.34	*21.6*	7.42	*1.2*	9.93	14.27	18.74
EPS (local GAAP, diluted)	4.61	4.61	4.46	5.22	*17.0*	5.08	*-2.7*	7.57	11.88	16.34
EPS (UBS, basic)	5.18	5.64	6.10	7.44	*22.0*	7.53	*1.1*	10.07	14.47	19.01
DPS (net) (US$)	1.35	1.60	1.70	2.03	*19.2*	2.06	*1.5*	2.11	2.16	2.22
Cash EPS (UBS, diluted) [1]	6.04	6.67	7.38	9.92	*34.4*	11.60	*16.9*	16.90	25.25	32.33
Book value per share	0.57	3.33	7.55	11.91	*57.8*	14.44	*21.2*	19.59	31.32	47.31
Average shares (diluted)	2,766	2,823	2,865	2,929	*2.2*	2,985	*1.9*	3,043	3,103	3,163

Balance Sheet (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Cash and equivalents	10,187	10,661	11,203	16,366	*46.1*	16,034	*-2.0*	2,908	1,916	19,462
Other current assets	10,817	11,893	13,376	16,570	*23.9*	22,903	*38.2*	37,963	57,133	71,024
Total current assets	**21,004**	**22,554**	**24,579**	**32,936**	*34.0*	**38,937**	*18.2*	**40,870**	**59,049**	**90,486**
Net tangible fixed assets	17,069	21,536	43,522	93,060	*113.8*	149,030	*60.1*	211,454	256,138	289,749
Net intangible fixed assets	62,261	62,230	62,207	62,207	*0.0*	62,207	*0.0*	62,207	62,207	62,207
Investments / other assets	34,050	34,656	38,053	39,724	*4.4*	36,882	*-7.2*	35,258	35,258	35,258
Total assets	**134,384**	**140,976**	**168,361**	**227,927**	*35.4*	**287,056**	*25.9*	**349,790**	**412,652**	**477,700**
Trade payables & other ST liabilities	19,029	20,939	25,372	36,355	*43.3*	42,310	*16.4*	59,165	69,570	75,411
Short term debt	4,061	10,605	7,271	8,091	*11.3*	8,091	*0.0*	8,091	8,091	8,091
Total current liabilities	**23,090**	**31,544**	**32,643**	**44,446**	*36.2*	**50,401**	*13.4*	**67,256**	**77,661**	**83,502**
Long term debt	86,420	76,264	85,297	114,984	*34.8*	154,984	*34.8*	174,984	179,984	179,984
Other long term liabilities	23,318	23,929	29,452	33,858	*15.0*	38,872	*14.8*	48,340	58,496	65,613
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**132,828**	**131,737**	**147,392**	**193,288**	*31.1*	**244,256**	*26.4*	**290,580**	**316,140**	**329,098**
Common s/h equity	**1,556**	**9,239**	**20,969**	**34,639**	*65.2*	**42,799**	*23.6*	**59,210**	**96,512**	**148,602**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**134,384**	**140,976**	**168,361**	**227,927**	*35.4*	**287,056**	*25.9*	**349,790**	**412,652**	**477,700**

Cash Flow (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Net income (before pref divs)	12,756	13,005	12,779	15,288	*19.6*	15,157	*-0.9*	23,027	36,859	51,673
Depreciation & amortisation	2,526	3,129	3,867	7,575	*95.9*	12,481	*64.8*	21,207	34,083	42,990
Net change in working capital	513	(488)	(1,500)	(1,332)	*11.2*	4,586	-	10,614	740	(1,583)
Other operating	5,623	5,565	6,011	2,137	*-64.4*	1,456	*-31.9*	1,656	7,400	7,600
Operating cash flow	**21,418**	**21,211**	**21,157**	**23,668**	*11.9*	**33,680**	*42.3*	**56,503**	**79,082**	**100,679**
Tangible capital expenditure	(8,695)	(6,866)	(21,215)	(50,240)	*-136.8*	(68,451)	*-36.2*	(83,631)	(78,766)	(76,601)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(27,721)	(63)	0	0	-	0	-	0	0	0
Other investing	(68)	(431)	(496)	4,103	-	0	-	0	0	0
Investing cash flow	**(36,484)**	**(7,360)**	**(21,711)**	**(46,137)**	*-112.5*	**(68,451)**	*-48.4*	**(83,631)**	**(78,766)**	**(76,601)**
Equity dividends paid	(3,668)	(4,391)	(4,743)	(5,791)	*-22.1*	(6,050)	*-4.5*	(6,321)	(6,605)	(6,903)
Share issues / (buybacks)	(108)	(460)	53	1,310	*NM*	489	*-62.7*	323	298	370
Other financing	(209)	(70)	124	(16)	-	0	-	0	0	0
Change in debt & pref shares	11,686	(5,703)	5,788	31,332	*NM*	40,000	*27.7*	20,000	5,000	0
Financing cash flow	**7,701**	**(10,624)**	**1,222**	**26,836**	*NM*	**34,439**	*28.3*	**14,002**	**(1,307)**	**(6,533)**
Cash flow inc/(dec) in cash	**(7,365)**	**3,227**	**668**	**4,367**	*NM*	**(332)**	-	**(13,126)**	**(991)**	**17,546**
FX / non cash items	(4,350)	(2,753)	(126)	796	-	0	*-100.0*	0	0	0
Balance sheet inc/(dec) in cash	**(11,715)**	**474**	**542**	**5,163**	*NM*	**(332)**	-	**(13,126)**	**(991)**	**17,546**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Oracle Corporation (ORCL.N)

Valuation (x)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
P/E (local GAAP, diluted)	17.6	24.9	35.2	37.3	38.4	25.8	16.4	11.9
P/E (UBS, diluted)	15.8	20.6	26.0	26.6	26.3	19.6	13.7	10.4
P/CEPS	13.3	16.9	21.0	19.4	16.6	11.4	7.6	5.9
Equity FCF (UBS) yield %	5.8	4.5	0.0	(4.9)	(6.4)	(5.0)	0.1	4.4
Dividend yield (net) %	1.7	1.4	1.1	1.0	1.1	1.1	1.1	1.1
P/BV	NM	34.4	20.8	16.4	13.5	9.9	6.2	4.1
EV/revenues (core)	5.1	6.6	8.2	9.5	7.4	5.7	4.2	3.5
EV/EBITDA (UBS core)	10.9	13.4	16.2	17.6	13.4	10.3	7.1	5.7
EV/EBIT (core)	12.2	15.2	18.7	22.3	18.2	14.9	10.8	8.6
EV/OpFCF (core)	17.3	18.1	61.0	NM	NM	NM	34.0	14.3
EV/op. invested capital	3.9	4.2	5.0	5.2	3.8	3.3	2.7	2.4

Enterprise value (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Market cap.	221,266	316,951	435,760	541,421	541,421	541,421	541,421	541,421
Net debt (cash)	33,116	33,116	33,116	94,037	94,037	163,604	163,604	177,386
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**254,382**	**350,066**	**468,876**	**635,458**	**635,458**	**705,025**	**705,025**	**718,807**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**254,382**	**350,066**	**468,876**	**635,458**	**635,458**	**705,025**	**705,025**	**718,807**

Growth (%)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Revenue	17.7	6.0	8.4	16.8	27.6	44.8	37.0	20.3
EBITDA (UBS)	8.6	11.7	10.4	24.8	31.5	44.4	45.2	27.6
EBIT (UBS)	6.7	10.3	8.6	13.9	22.7	35.3	38.2	28.4
EPS (UBS, diluted)	4.5	8.6	8.4	21.6	1.2	33.8	43.6	31.4
Net DPS	7.2	18.2	6.3	19.2	1.5	2.5	2.5	2.5

Margins & Profitability (%)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Gross profit margin	74.0	72.8	72.0	67.1	61.6	54.7	51.8	52.4
EBITDA margin	46.9	49.4	50.4	53.8	55.5	55.3	58.6	62.2
EBIT (UBS) margin	41.8	43.5	43.6	42.5	40.9	38.2	38.5	41.1
Net earnings (UBS) margin	28.4	29.7	30.1	32.1	25.9	24.4	26.1	29.0
ROIC (EBIT)	32.2	27.6	26.7	23.4	21.1	22.1	25.1	28.0
ROIC post tax	26.9	22.3	21.4	18.7	17.0	17.8	20.2	22.5
ROE (UBS)	<-500	291.0	114.4	77.3	57.2	59.3	56.8	48.4

Capital structure & Coverage (x)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Net debt / EBITDA	3.4	2.9	2.8	3.0	3.1	2.6	1.9	1.3
Net debt / total equity %	NM	NM	NM	NM	NM	NM	192.9	113.5
Net debt / (net debt + total equity) %	98.1	89.2	79.5	75.5	77.5	75.3	65.9	53.2
Net debt/EV %	26.4	22.4	16.8	14.8	20.0	23.2	26.0	24.7
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	178.2
Capex / revenue %	17.4	13.0	NM	NM	NM	NM	NM	NM
EBIT / net interest	5.3	6.4	7.1	17.8	4.7	4.8	6.3	8.1
Dividend cover (UBS)	3.8	3.5	3.6	3.7	3.7	4.8	6.7	8.6
Div. payout ratio (UBS) %	26.2	28.4	27.9	27.3	27.4	21.0	15.0	11.7

Revenues by division (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Others	49,955	52,961	57,399	67,057	85,564	123,898	169,746	204,270
Total	**49,955**	**52,961**	**57,399**	**67,057**	**85,564**	**123,898**	**169,746**	**204,270**

EBIT (UBS) by division (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Others	20,904	23,054	25,034	28,503	34,974	47,329	65,413	83,974
Total	**20,904**	**23,054**	**25,034**	**28,503**	**34,974**	**47,329**	**65,413**	**83,974**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Forecast returns

Forecast price appreciation	43.7%
Forecast dividend yield	1.0%
Forecast stock return	44.7%
Market return assumption	8.5%
Forecast excess return	36.2%

Company Description

Oracle is one of the world's largest and most profitable software companies, with $50bn in FY23 revenue and around 164,000 employees. It is a leading provider of database, middleware, business application software, and cloud infrastructure, as well as engineered software/hardware systems used by large enterprises and public organizations of all sizes around the world. ORCL is headquartered in Austin, Texas and went public in 1986.

Valuation Method and Risk Statement

Our price target is based on a FCF multiple. Risks to our price target to the upside include greater-than-expected market share gains from Workday and SAP leading to Oracle's topline metrics improving and multiple re-rating, while risks to the downside include Oracle's recent sales re-organization creating execution risk and potentially slipped deals leading to Oracle disappointing on near-term expectations, limited traction with Oracle's Cloud offering and tougher competition.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Oracle Corporation

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	52%	24%
Neutral	FSR is between -6% and 6% of the MRA.	41%	22%
Sell	FSR is > 6% below the MRA.	7%	25%
Short-Term Rating	**Definition**	**Coverage[3]**	**IB Services[4]**
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2025.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.
3:Percentage of companies under coverage globally within the Short-Term rating category.
4:Percentage of companies within the Short-Term rating category for which investment banking (IB) services were provided within the past 12 months.

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KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

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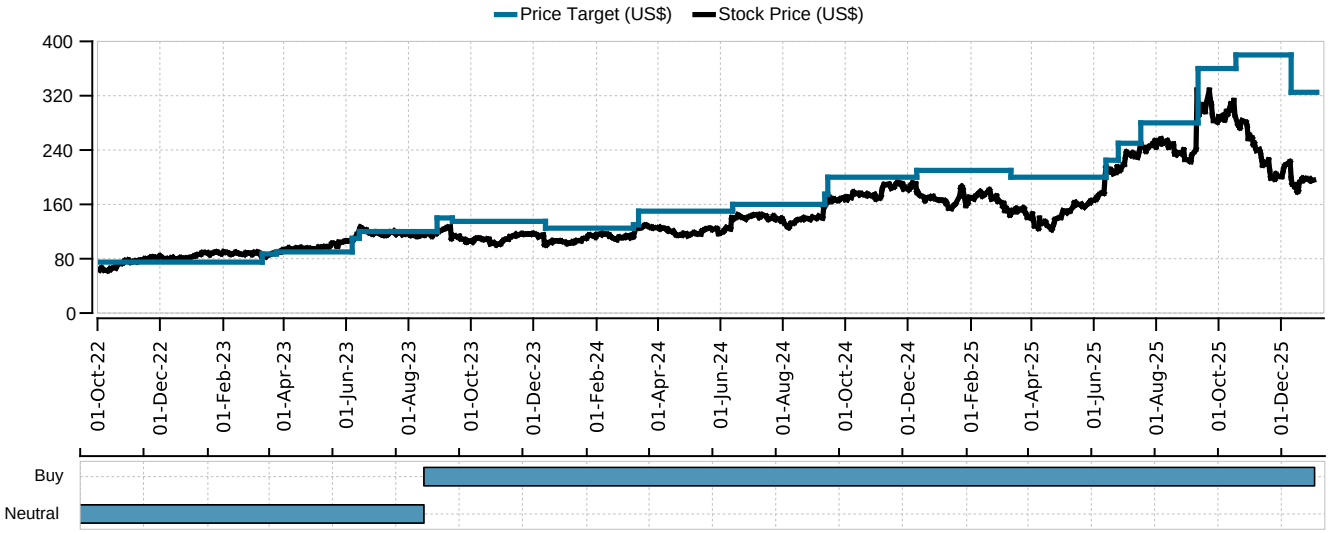
Company Name	Reuters	12-month rating	Price	Price date
Oracle Corporation[16,7]	ORCL.N	Buy	US$195.71	02 Jan 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

7. Within the past 12 months, UBS has received compensation for products and services other than investment banking services from this company/entity.
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Oracle Corporation (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2022-09-30	61.07	75.00	Neutral
2023-03-10	84.07	87.00	Neutral
2023-03-24	88.01	90.00	Neutral
2023-06-06	107.10	110.00	Neutral
2023-06-13	116.68	120.00	Neutral

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Date	Stock Price (US$)	Price Target (US$)	Rating
2023-08-28	116.84	140.00	Buy
2023-09-12	109.61	135.00	Buy
2023-12-12	100.81	125.00	Buy
2024-03-07	114.54	130.00	Buy
2024-03-12	127.54	150.00	Buy
2024-06-12	140.38	160.00	Buy
2024-09-10	155.89	175.00	Buy
2024-09-13	162.03	200.00	Buy
2024-12-09	190.45	210.00	Buy
2025-03-11	144.18	200.00	Buy
2025-06-12	199.86	225.00	Buy
2025-06-24	215.27	250.00	Buy
2025-07-16	241.30	280.00	Buy
2025-09-10	328.33	360.00	Buy
2025-10-17	291.31	380.00	Buy
2025-12-10	223.01	325.00	Buy

Source: UBS Global Research; LSEG Eikon as of 02-Jan-2026. All prices as of local market close. Ratings as of date shown.

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